

Driving India

With the Indian car market slated to touch 4 million units by 2016, the world's automakers are making a beeline for India, forging multiple alliances that will help them cut both costs and time

■ By Malini Bhupta

It's a traffic jam of a different kind. It is almost as if every badge on the global auto marquee is driving into India. Sure, to not be in an economy growing at 9-plus per cent would be downright stupid. Of course, the burgeoning middle class and the rising demand for personal mobility is a big draw. But the draw is not so much the scale as the potential. At current rates of growth, the trillion dollar economy promises to quadruple the number of car buyers to over 4 million within a decade. It is not surprising that Korean auto major Hyundai chose to premier its i10 in India. When Shah Rukh Khan beats the blonde beauty to drive the i10

in the Hyundai commercial, he underlines India's lure rather eloquently. If last year's dozen new launches took car sales to record levels, this year will be a bonanza with 75 new models.

But it is not just the lure of market-share that is driving the Renaults, Volkswagens and Volvos of the world. It is a complex two-way relationship. India promises a combination of market scale and engineering skills that makes it an irresistible investment destination. This is best illustrated by Suzuki's decision to unveil its concept car A-Star at the Auto Expo. Designed primarily for the European market, the A-Star has plenty of India in it because for the first time the Japanese automaker has leveraged the engineering

design capabilities and manufacturing expertise of its Indian subsidiary Maruti Suzuki to create a world class product.

In less than 10 months, at least six major deals with a promised investment of \$4.6 billion (Rs 18,400 crore) have been inked. That is just for starters. There is more on the way. Of the over 2,000 participants at Auto Expo, 800 are foreign players—all looking to clinch both orders and supplies. Says Suhas Kadlaskar, head for corporate affairs at DaimlerChrysler India: "MNCs are looking at India as a manufacturing hub because the engineering and R&D capability of India is of **SIGNING SPREE: Mahindra (L) with Ghosn (left); Eicher's Siddhartha Lal (L) with Volvo's Jorma Halonen (below)**



RENAULT AND M&M

Investment \$100 MILLION

This partnership has become a test case for the auto market as the JV launched Logan in a mere 24 months, cutting Renault's operational cost by 200 per cent



VOLVO AND EICHER

Proposed investment \$506 MILLION

This partnership will create a new holding company for product offerings. Eicher will transfer all its design